Securities Market Clearing and Settlement Regulations

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CHAPTER I. COMMON PROVISIONS

§1. Purpose

The purpose of this regulation is to prescribe the matters necessary for the Korea Exchange, designated as a clearing agency of the securities market under Article 378, Paragraph 1 of the Financial Investment Services and Capital Market Act, to perform the clearing operation of trading and related activities in accordance with Article 393, Paragraph 1 of the same Act.

§2. Definitions

(1) The terms used in these regulations shall have the following meanings:

1. “Securities market” refers to the KOSPI market, KOSDAQ market, and KONEX market established by the Korea Exchange (hereinafter referred to as the “Exchange”) for the trading of securities;

2. “Clearing operation” refers to the work of trade confirmation, debt assumption, netting, finalization of settlement securities and settlement amount, guaranteeing settlement performance, handling settlement failure, and issuing settlement instructions conducted by the Exchange subsequent to trading (including trading at multilateral trading companies) concluded on the securities market;

3. “Settlement operation” refers to the business of securities delivery and payment, etc., performed by the Korea Securities Depository (hereinafter referred to as the “KSD”), designated as an electronic registration agency, under Article 297 of the Financial Investment Services and Capital Market Act (hereinafter referred to as the “Act”);

4. “Securities finance company” refers to an entity who has received approval for securities finance business under Article 324, Paragraph 1 of the Act;

5. “Transaction financed by a securities finance company” refers to the transaction in which a securities finance company lends the money or securities necessary for the transactions at the securities market through the Exchange (including transactions at a multilateral trading company; the same hereinafter) pursuant to Article 326 Paragraph 1, Subparagraph 2 of the Act and makes a settlement;

6. “Settlement accounts” refer to accounts to exchange settlement securities and settlement payment, which are finalized in the securities market, with clearing members and are classified as follows:

(a) Securities settlement account: An account for the delivery of final settlement securities, referring to an account of KSD that replaces the account that the Exchange has opened with the KSD; and

(b) Cash settlement account: An account for the payment of final settlement amount, referring to an account of KSD that replaces the accounts that the Exchange has opened with the Bank of Korea or other banks.

7. “Clearing member account” refers to an account in the name of a clearing member for exchanging settlement securities and settlement payment, which are fixed in the securities market, with the Exchange;

8. “Settlement instruction” means that the Exchange instructs the KSD to transfer securities or pay money from the settlement account to the clearing member account;

9. “Settlement delay” refers to a case in which a clearing member in the securities market fails to deposit securities or money to the settlement account by the specified deadline;

10. “Substitute securities” means securities that a clearing member can deposit as member margin in lieu of cash (including checks issued by a bank in accordance with the Check Act; the same hereinafter);

11. “Stocks, etc.” means stock certificates (excluding the stocks of ETF investment companies and those of investment companies of business development collective investment vehicle), DRs of foreign stocks, collective investment securities of ETF investment companies, collective investment securities of business development collective investment vehicle, ETNs, subscription right certificates, subscription warrants, ELWs and beneficiary certificates (excluding the beneficiary certificates of ETF investment trusts and the investment trust beneficiary certificates of business development collective investment vehicle); (Amended on March 4, 2026)

12. “Auction” refers to a case where the Exchange receives an entrustment from the person who wishes to sell securities and sell them to the person who wishes to buy; and

13. Large-scale error transactions” refers to large-scale error transactions in [§28-2(1)] of the KOSPI Market Business Regulations” and [§27-2(1)] of the KOSDAQ Market Business Regulations.

(2) In addition, the meaning of terms used in these regulations shall be in accordance with the Act and the business-related regulations of the Exchange, except in cases where these regulations specifically stipulate otherwise.

§3. Non-trading Days

(1) The Exchange shall not conduct clearing operation on any of the following days:

1. Public holidays under the Regulation on Government and Public Offices Holidays;

2. The Labor Day under the Act on Establishment of Labor Day;

3. Saturdays;

4. December 31 (when it falls on public holiday or Saturday, it shall be the trading day

immediately preceding December 31); and

5. Other days when a sudden change in economic conditions occurs or is expected to occur, or the Exchange deems it necessary for market management.

(2) Notwithstanding paragraph (1), in the case where the Exchange deems it necessary for operational purposes, it may conduct clearing work on the days corresponding to each subparagraph of paragraph (1).

§4. Suspension and Resumption of Clearing Operation

(1) The Exchange may suspend all or part of its clearing operations in the event of natural disasters, wars, emergencies, fires in the market, rapid or anticipated changes in economic conditions, or computer system failures that make normal operations difficult.

(2) In the event that the Exchange suspends clearing operations pursuant to paragraph (1), it may change the deposit deadline for margin, settlement date, etc., and, if necessary, may request the KSD to suspend settlement operations or change the settlement deadline.

(3) If the reason for suspension of clearing operations is resolved, the Exchange shall resume clearing operations without delay.

(4) In the case where the Exchange suspends clearing operations pursuant to paragraph (1), or changes the deposit deadline for margin, settlement date, etc., or requests the KSD to suspend settlement operations or change the settlement deadline, etc. pursuant to paragraph (2), it shall notify the members of this.

CHAPTER II. CLEARING AND SETTLEMENT IN SECURITIES MARKET

Section 1. General Provisions

§5. Scope of Application

(1) This chapter shall apply to the clearing and settlement of each of the following subparagraphs. Provided that, in cases stipulated in the Enforcement Rules, subparagraph 2 shall not apply:

1. Clearing and settlement of transactions by clearing members, non-clearing members, and trading participants; and

2. Clearing and settlement of transactions financed by a securities finance company. In this case, the securities finance company is deemed to have entered into a delegation agreement with the clearing member, the counterparty to the transactions financed by a securities finance company.

(2) A trading participant who is not a clearing member shall enter into a settlement

entrustment agreement with a clearing member in accordance with [§22] of the Membership Regulation for clearing and settlement under paragraph (1).

(3) A securities finance company shall be considered as a clearing member when applying this chapter.

(4) Repo trading participants under [§41(2)3] of the Membership Regulation shall be regarded as non-clearing members when applying this chapter.

(5) Conditions for clearing and settlement of transactions financed by a securities finance company under paragraph (1)2, requests for error correction of transactions financed by a securities finance company, and other necessary matters shall be determined by the Enforcement Rules.

§6. Trades Subject to Clearing and Settlement

(1) Trades subject to clearing and settlement are classified as follows according to the settlement date:

1. Cash settlement trade: A trade, the delivery and payment of which are completed on the very day of trading;

2. T+1 settlement trade: A trade, the delivery and payment of which are completed on the first business day (in the case stipulated in the Enforcement Rules, the following business day) following the date of trading; and

3. Regular way trade: A trade, the delivery and payment of which are completed on the third business day following the date of trading.

(2) Among the trades subject to clearing and settlement, the type of trades of listed securities shall be the regular way trade noted in paragraph (1)3, excluding cases stipulated in the Enforcement Rules.

(3) When calculating the number of days in subparagraphs 2 and 3 of paragraph (1), temporary closing days are excluded.

(4) Notwithstanding paragraph (1), the Exchange may change the settlement date when it is recognized that the settlement cannot be conducted normally due to natural disasters, wars, accidents, sudden and significant changes in economic conditions, other incidents similar thereto, or computer system failures.

§7. Confirmation of Trades for Which Obligations Are to Be Assumed

(1) In cases of intending to assume the obligations of a clearing member after the trade execution in the securities market, the Exchange shall confirm the trade that is basis of the obligations to be assumed (excluding the trade established by the exercise of the rights acquired through the purchase of trades; the same hereinafter) beforehand. In this case, the Exchange shall confirm the trade separately from trades financed by securities finance companies, and when the trade is changed due to correction of error trades or relief of large-

scale error transactions, the changed trades shall be confirmed.

(2) A multilateral trading company shall immediately notify the Exchange of the details of trades of trading participants as specified in the Enforcement Rules so that the Exchange can confirm trades pursuant to paragraph (1).

§8. Assumption of Obligations under Novation Arrangement

(1) For a trade that has been confirmed pursuant to [§7], the Exchange shall assume the obligation that a clearing member owes to the counterparty clearing member, and the clearing member shall in turn assume the obligation to the Exchange that is identical to the obligation assumed by the Exchange.

(2) A clearing member who transferred the obligation to the Exchange pursuant to paragraph (1) shall be exempted from the obligation owed to the counterparty clearing member prior to the transfer.

Section 2. Methods of Clearing and Settlement in Securities Market

§9. Netting and Finalization of Settlement Securities and Payment

(1) After assuming the obligations pursuant to [§8], in cases where the Exchange and a clearing member reciprocally assume the obligations for payment or the obligations for same issue of security on the same day, the netting shall be carried out between the payment amounts and between the same issue of security for each trade subject to netting in each of the following subparagraphs:

1. Trade of stocks, etc.;
2. Trade in the KRX KTB;
3. Trade of Repo; and
4. Trade of debt securities other than the those in subparagraphs 2 and 3.

(2) Notwithstanding paragraph (1), in the case where the Exchange and a clearing member assume the obligations for payment amounts for trades subject to netting noted in paragraph (1)2, the netting shall be carried out between the payment amounts of the same issue. Provided that, in the case where the number of the issues that has no residual quantity after netting (hereinafter referred to as net cash settlement issues) is two (2) or more, the netting shall be carried out between the payment amounts of all relevant issues.

(3) After netting pursuant to paragraphs (1) and (2), the remaining quantity of securities and payment amount shall be finalized as the settlement securities and settlement amounts to be delivered and paid between the Exchange and the member. In such cases, for trades subject to netting noted in paragraph (1)2, the quantity of settlement securities and amount of settlement payment shall be finalized by splitting it into a certain size.

(4) The trades of stocks, etc. noted in paragraph (1)1, netting method noted in paragraphs (1) and (2), and the finalization of settlement securities and settlement amount noted in paragraph (3) and other matters necessary for netting and finalization of settlement securities and settlement amounts shall be stipulated in the Enforcement Rules.

§10. Notification of Settlement Details

(1) The Exchange shall notify the details of settlement securities and settlement amount that have been finalized (hereinafter referred to as the "settlement details") to clearing members and the KSD and the Bank of Korea.

(2) The settlement details notified to the KSD and the Bank of Korea pursuant to paragraph (1) shall be each of the following subparagraphs:

1. Settlement details notified to the KSD shall be the items in each of the followings:

    (a) The trade execution date and settlement date;

    (b) The quantity of settlement security netted and finalized per issue for each clearing member. In such cases, the quantity resulted from customer account transactions shall be separated from the quantity resulted from self-account transactions, and, for the quantity resulted from the customer account transactions of debt securities noted in [§9(1)2 through 4], the quantity resulted from the trust shall be separated from the quantity resulted from others;

    (c) The amount of settlement payment netted and finalized for each clearing member. Provided that, in the case of settlement payments for trades subject to netting noted in [§9(1)2], it shall be the amount of settlement payments netted and finalized per issue for each clearing member, but in the case where it is the amount of settlement payments for the net cash settlement issues, it shall be the amount of settlement payments netted and finalized per clearing member; and

    (d) In addition, the matters that are necessary for the settlement in the securities market.

2. Settlement details notified to the Bank of Korea shall be the items in each of the following:

    (a) For trades subject to netting noted in [§9(1)1], the details noted in subparagraphs 1(a), 1(c) and 1(d) of paragraph (2); and

    (b) For trades subject to netting noted in [§9(1)2], the details noted in subparagraphs 1(a) through 1(d) of paragraph (2).

(3) The Exchange shall transmit the settlement details noted in paragraph (1) from its computer system to the computer systems operated by each clearing member, the KSD and the Bank of Korea.

(4) The matters necessary for the settlement details per clearing member, notification time of settlement details, notification per clearing member and confirmation thereof shall be

stipulated in the Enforcement Rules.

§11. Settlement Instructions

(1) The Exchange shall issue the settlement instruction for trades subject to netting in each subparagraph of the followings after the time specified in the relevant subparagraph:

1. For trades subject to netting noted in [§9(1)1 and 2]: 09:00 hour on the settlement date, and

2. For trades subject to netting noted in [§9(1)3 and 4]: 15:30 hour on the settlement date.

(2) In the case where the time specified in each subparagraph of paragraph (1) has elapsed, it shall be deemed that the Exchange has issued the settlement instruction for trades subject to netting in each of the following subparagraphs in the manner specified in each relevant subparagraph:

1. For trades subject to netting noted in [§9(1)1]: The delivery of securities and the payment of money in accordance with each of the following items.

(a) Delivery of securities: To deliver securities deposited in the securities settlement accounts to the security-receiving clearing members in the manner stipulated in the Enforcement Rules; and

(b) Payment of money: To pay money deposited in the cash settlement account to the money-receiving clearing members in order of completion of the payment of all securities that are obliged to be delivered. In such cases, when the deferred settlement amount has been deposited in accordance with [§21(1)] because of non-delivery of securities, it shall deem that the relevant securities have been deposited.

2. For trades subject to netting noted in [§9(1)2]: The delivery of securities and the payment of money in accordance with each of the following items.

(a) Delivery of securities: To deliver settlement securities related to the relevant settlement money to security-receiving clearing members who completed the deposit of settlement money of a specific issue (referring to the settlement payment finalized by splitting into a certain size pursuant to the latter part of [§9(3)]) in the order stipulated in the Enforcement Rules. In such cases, if the quantity of securities deposited in the securities settlement account is greater than or equal to the quantity of relevant settlement securities, the settlement securities shall be delivered; and

(b) Payment of money: To pay settlement money related to the relevant settlement securities to money-receiving clearing members who completed the deposit of settlement securities of a specific issue (referring to the settlement payment finalized by splitting into a certain size pursuant to the latter part of [§9(3)]) in the order stipulated in the Enforcement Rules. In such cases, if the sum of the amount deposited in the cash settlement account and the amount that the Exchange raised from the Bank of Korea according to the method specified in [§14] is greater than or equal to the amount of the relevant settlement amount, the settlement amount shall be paid, and the settlement amount for the net cash settlement issues shall be paid after the time specified in the Enforcement Rules.

3. For trades subject to netting noted in [§9(1)3 and 4], The delivery of securities and the payment of money in accordance with each of the following items:

(a) Delivery of securities: To deliver the securities deposited in the securities settlement account to securities-receiving clearing members in the manner stipulated in the Enforcement Rules; and

(b) Payment of money: To pay settlement money to money-receiving clearing members who completed the deposit of securities that are obliged to be delivered when all clearing members have completed the deposit of money (in case when the money deposit has been completed before 15:30 of the settlement date, it is deemed to be made at 15:30 of the settlement date).

(3) Notwithstanding paragraph (2), in case of sudden changes in the economic conditions, a possibility of insolvency of a clearing member or other cases that are stipulated in the Enforcement Rules, the Exchange may issue the settlement instruction to the KSD to deliver securities and pay money simultaneously to securities-receiving clearing members and money-receiving clearing members when deposits of securities and money for all issues are completed.

(4) When a settlement instruction has been given by the Exchange, the KSD shall immediately carry out the settlement work.

§12. Securities Delivery and Payments between the Exchange and Clearing Member

(1) Clearing members shall deposit the settlement securities or settlement amounts with the Exchange according to the settlement details notified by the Exchange by the settlement deadline [referring to 16:00 hour (in cases of a cash settlement trade stipulated in [§6(1)1], it shall be 16:30); if that hour is changed, it refers to the changed hour] pursuant to the Settlement Regulation of the KSD, and the Exchange shall deliver the securities or pay the amount to the clearing members in the manner stipulated in [§11].

(2) When a clearing member deposits securities or money pursuant to paragraph (1), it may deliver the securities or pay money in installments. Provided that this provision shall not apply to the case of depositing the securities (limited to the securities deposited before 16:00 hour) and the money for trades subject to netting noted in [§9(1)2].

(3) The delivery of securities and the payment of money between the Exchange and clearing members pursuant to paragraphs (1) and (2) shall be accomplished by way of transferring between the securities settlement account and the accounts of clearing members. Provided that, a clearing member (limited to a clearing member meeting the requirements specified in the Enforcement Rules), who has not opened an account under its name with the Bank of Korea for the payment or receipt of the amounts for trades subject to netting noted in [§9(1)1], among trades subject to netting (referring to the trades subject to netting pursuant to [§9(1)1 through 3]) that use the Bank of Korea as the settlement bank pursuant to the Settlement Regulation of the KSD, may pay or receive the amounts by transferring between the cash

settlement account and the account opened with the Bank of Korea under the name of a bank that the relevant clearing member designates.

(4) The delivery of securities and the payment of money through the settlement accounts pursuant to paragraph (3) shall have the same effect as the delivery of securities and the payment of money directly through the account under the name of the Exchange.

(5) The KSD shall open the cash settlement account after the prior consultation with the Exchange. In such cases, necessary matters such as standards of soundness and credit risk of banks that can open the cash settlement account shall be stipulated in the Enforcement Rules.

§13. Notification of Completion of Settlement by KSD, etc.

(1) The KSD shall notify the Exchange of details of following subparagraphs in real time through electronic means from the time specified in the Enforcement Rules prior to the settlement deadline until the completion of the settlement process:

1. The deposited and undeposited quantities of each settlement security issue per clearing member and the paid and unpaid payment amounts per clearing member;

2. The quantity of each settlement security issue delivered and the settlement amount paid to the clearing members who are entitled to receive;

3. The time of deposit and delivery of settlement security and the time of deposit and payment of settlement payment; and

4. Additionally, the matters necessary for monitoring the extent of settlement fulfillment per clearing member.

(2) When the settlement process is completed, KSD shall notify the Exchange of the results.

§14. Raising Settlement Fund at Government Bond Market (KRX KTB)

(1) The Exchange may raise the settlement funds by selling settlement securities receivable (limited to the securities specified in the Enforcement Rules from among the settlement securities subject to netting noted in [§9(1)2]) to the Bank of Korea through a Repo as stipulated by the Bank of Korea.

(2) Matters necessary for the raising of the settlement funds and repayment thereof shall be stipulated in the Enforcement Rules.

§15. Calculation of Repo Purchase and Repurchase Prices

Matters concerning the calculation of the purchase price and repurchase price of Repo shall be governed by [§65] of the KOSPI Market Business Regulations.

§16. Return of Profits from Repo

One party to a Repo trade shall return to the other party through the Exchange an amount equivalent to the interest, etc. accrued from the bond sold and the margin maintenance bond (referring to bonds additionally collected by the Exchange for the purpose of unilateral maintenance of margin; the same hereinafter) during the Repo trading period (the period from the settlement date of the price to the date of repurchase). In this case, if one party disposes of the margin maintenance bond, the proceeds from the disposal shall be deemed as the margin maintenance bond.

§17. Marking-to-market of Repo Trade

(1) The Exchange shall carry out the marking-to-market for all Repos for which the repurchase dates have not yet arrived (excluding the trades executed on the day or the trades for which the purchase price was settled on the same day). In such cases, all trades with the same parties shall be treated as a single contractual relationship and calculated by adding them together.

(2) The marking-to-market pursuant to paragraph (1) shall be carried out in the order of the following subparagraphs:

1. Appraisal of the purchased bonds and the purchase price for each individual Repo agreement;

2. Appraisal of the balance of additional margin for each individual Repo agreement; and

3. Calculation of net exposure for all Repo agreements with the same counterparties.

(3) When the marking-to-market pursuant to paragraphs (1) and (2) results in a net exposure to one party, the Exchange shall notify such fact to both parties and collect from the counterparty the additional margin equivalent to the net exposure either in margin maintenance bonds or in cash before the settlement deadline of the day.

(4) The Exchange shall deliver the additional margin collected from the counterparty pursuant to paragraph (3) to the one party after the settlement deadline of the day.

(5) Matters necessary for marking-to-market noted in paragraph (2), notification of the net exposure and collection of additional margin noted in paragraph (3), and the delivery of the additional margin noted in paragraph (4) shall be stipulated in the Enforcement Rules.

§18. Termination of Repo Trade

(1) A Repo trade shall be terminated when any of the reasons under [§70(1)] of the KOSPI Market Business Regulations occurs.

(2) The Repo trade shall be terminated when one party to the Repo trade deposit the repurchase price or the purchased bonds with the Exchange before the settlement deadline on the repurchase date, and the Exchange pays the relevant repurchase price or deliver the purchased bonds to the counterparty after the settlement deadline of the day.

(3) One party who received the additional margin pursuant to [§17(4)] shall return the relevant additional margin to the Exchange before the settlement deadline on the repurchase

date, and the Exchange shall pay the relevant additional margin to the counterparty after the settlement deadline of the day.

(4) In cases where a party to a Repo trade is unable to make the settlement of Repo trade specified in paragraphs (2) and (3), the Exchange shall handle the case in the manner stipulated in the following subparagraphs:

1. Where the seller fails to settle the trade, the Exchange shall substitute the settlement with a payment to the buyer of the repurchase price and amount equivalent to the additional margin, which the seller is required to pay and returned, after the settlement deadline; and

2. Where the buyer fails to settle the trade, the Exchange shall substitute the settlement with a delivery to the seller of the purchased bonds and the amount equivalent to the additional margin, which the buyer is required to return, after the settlement deadline.

(5) Notwithstanding paragraph (4), when the Repo trade is terminated due to the reason falling under [§70(1)5 or 6] of the KOSPI Market Business Regulations, all trades with the party falling under such cases (hereinafter referred to as "settlement defaulting party" in this Article) shall be terminated.

(6) In the case of terminating trades pursuant to paragraph (5), the Exchange shall deem all trades with the same counterparties as a single contractual relationship, and shall substitute the settlement by paying to the counterparty of settlement defaulting party the amount equivalent to the total repurchase price, the purchased bonds and the additional margins for all terminating trades, which must be paid and returned by the settlement defaulting party, after the settlement deadline on the repurchase date or the following trading day.

(7) Matters relating to the return of additional margin pursuant to paragraph (3) shall be stipulated in the Enforcement Rules.

Section 3. Special Cases of Securities Settlement

§19. Handling of Non-delivery/ Non-receipt of Stocks, etc. of Clearing Member

(1) The KSD shall notify the details noted in each of the following subparagraphs, which are related to the non-delivery/non-receipt, to the Exchange:

1. The undelivered quantity of settlement security per clearing member;

2. The unreceived quantity of settlement security per clearing member;

3. Whether or not the undelivered issue/unreceived issue is the issue settled on record date or cut-off date, and in the case of the issue settled on record date or cut-off date, the type thereof; and

4. Other details required to understand the status of non-delivery/ non-receipt of settlement security per clearing member.

(2) In the case where a clearing member has not delivered or received the stocks, etc. (excluding the issues precluded from non-delivery: the same hereinafter in [§21]) by the settlement deadline, the Exchange shall conclude the issue as an undelivered/unreceived issue and notify the details noted in each of the following subparagraphs to the KSD and clearing members. In such cases, the details notified to a clearing member shall be limited to the details related to the relevant clearing member.

1. Quantity and duration for which the issue was not delivered/received for each clearing member;

2. Deferred amount of settlement payment to be paid or received for each clearing member; and

3. Other matters related to the determination of undelivered/unreceived issue.

(3) Notwithstanding paragraphs (1) and (2), the clearing member shall not fail to deliver the issue precluded from non-delivery.

(4) Matters necessary for handling the issue settled on the record date or cut-off date under paragraph (1)3, the issue precluded from non-delivery under paragraph (3), and other cases of non-delivery/non-receipt shall be stipulated in the Enforcement Rules.

§20. Finalization of Settlement Securities and Settlement Amounts at the Time of Non -delivery/Non-receipt of Stocks, etc.

(1) In the case where there is an issue confirmed as undelivered/unreceived issue pursuant to [§19(2)] because the clearing member obliged for delivery has not delivered stocks, etc. to the Exchange due to unavoidable reasons, notwithstanding [§6(1)3], the Exchange and the clearing member shall postpone the settlement date of the relevant stocks, etc. to the next settlement date and exchange the settlement securities and the settlement amount between them.

(2) The settlement securities and settlement amount to be delivered and received between the Exchange and the clearing member pursuant to paragraph (1) shall be finalized in the manner in each of the following subparagraphs:

1. Settlement securities: A quantity obtained by adding the quantity of securities not delivered on the relevant settlement date and the quantity of settlement securities of the next settlement date finalized pursuant to [§9(3)]; and

2. Settlement amount: An amount obtained by adding the deferred settlement amount received on the relevant settlement date pursuant to [§21(1)] and the settlement amount of the next settlement date finalized pursuant to [§9(3)].

(3) The matters necessary for the finalization of quantity of settlement securities and amount of settlement payments at the time of non-delivery/non-receipt of stocks, etc. shall be stipulated in the Enforcement Rules.

§21. Payment/Receipt of Deferred Settlement Amount for Undelivered/Unreceived Issue of Stocks, etc.

(1) Clearing members who failed to deliver the stocks, etc. by settlement deadline shall deposit the deferred settlement amount in lieu of the relevant undelivered stocks, etc. with the Exchange. In such cases, the Exchange shall pay the relevant deferred settlement amount to the clearing member who has not received the stocks, etc.

(2) The method of calculation and payment of deferred settlement amount and other matter necessary shall be stipulated in the Enforcement Rules.

§22. Buy-in of Undelivered Issue by the Exchange

(1) With respect to the issue stipulated in the Enforcement Rules from among the issues for which there is a possibility of settlement deferment or failure due to non-delivery of stocks, etc., the Exchange may buy in the relevant issue and deliver it to the clearing member who failed to deposit the stocks, etc.

(2) When intending to buy in the stocks, etc. pursuant to paragraph (1), the Exchange shall conduct the purchase transaction as noted in each of the following subparagraphs using the Exchange system:

1. The Exchange shall place a bid quotation for the purchase under the name of the clearing member who failed to deposit securities in the manner stipulated in the Enforcement Rules;

2. The selling member shall place an ask quotation in the manner stipulated in the Enforcement Rules; and

3. The Exchange shall make the purchase by way of call auction under [§23] between the quotations noted in paragraphs (1) and (2).

(3) When the Exchange buys in the stocks, etc., pursuant to paragraph (2), the Exchange, selling member, and the member who failed to deposit securities shall deliver securities and receive the payment amounts according to the method in each of the following subparagraphs. In such cases, [§12(3) through (5)] shall apply *mutatis mutandis*.

1. The selling member shall deposit the stocks, etc. sold to the Exchange without delay and the Exchange shall immediately deliver the stocks, etc. deposited to the member who failed to deposit securities; and

2. The member who failed to deposit securities shall deposit the purchase amount with the Exchange without delay and the Exchange shall immediately pay the purchase amount deposited to the selling member.

(4) Notwithstanding the paragraph (2), when the Exchange deems necessary for the market management, it may conduct a buy-in of the stocks, etc. using the method other than the one noted in paragraph (2). In such cases, the purchasing method and the delivery and payment for the purchased stocks, etc. shall be determined separately by the Exchange.

(5) The deadline for deposit noted in subparagraphs 1 and 2 of paragraphs (3), and other matters necessary for buy-in by the Exchange shall be stipulated in the Enforcement Rules.

§23. Agreement of Clearing Member to Accept Securities Delivery Bills

(1) Upon receiving from the KSD the application details for issuing a securities delivery bill for debt securities of a clearing member, the Exchange shall, with the counterparty clearing member's agreement to receive the settlement delivery bill, confirm the timing of the applicant clearing member's securing of the relevant securities and notify the KSD of such details.

(2) The securities delivery bill shall be issued by the KSD on behalf of the Exchange and the delivery of securities delivery bill between the KSD and the clearing members shall have the same effect as the delivery of securities delivery bill between the Exchange and the clearing members.

(3) The securities deposited to the settlement account shall include the securities delivery bill and the clearing members who receives the securities from the settlement account shall include the clearing members who have substituted the securities delivery with the securities delivery bill.

(4) The method of obtaining the agreement to receive the securities delivery bill noted in paragraph (1) and the method of delivering the securities to the clearing member who agreed to receive it shall be stipulated in the Enforcement Rules.

§24. Exchange of Repo Bonds

(1) In cases of bond Repo trades, when the issuer [including the guarantor institution in the case of guaranteed corporate bonds under Article 362(8) of the Enforcement Decree of the Act] of traded bonds falls under any of the following cases, the buyer may request the seller through the Exchange to exchange the traded bonds with another issue of bonds (limited to one (1) issue; hereinafter referred to as "exchange bonds") among the eligible bonds under [§61] of the KOSPI Market Business Regulation. In this case, the exchange bonds shall be considered the traded bonds of the relevant Repo trade:

1. Where a bill or check issued is dishonored or its transactions with a bank are suspended or banned;

2. Where its business activities are completely suspended or an important part thereof is partially suspended, or its business permission is revoked; and

3. Where an application for bankruptcy, dissolution or the proceedings for rehabilitation has been filed pursuant to the relevant law or where de facto rehabilitation proceedings has been initiated.

(2) A seller who received an exchange request from a buyer pursuant to paragraph (1) shall exchange the traded bonds with exchange bonds, and the appraisal amount of the exchange bonds shall be equal to or higher than the appraisal amount of the purchase price.

(3) The appraisal amount of exchange bonds noted in paragraph (2) and other matters necessary for exchange bonds shall be stipulated in the Enforcement Rules.

§25. Substitution of Repo Bonds

(1) A seller can substitute a traded bond with another issue of bonds (limited to one (1) issue; hereinafter referred to as “substituted bonds”) among the eligible bonds under [§61] of the KOSPI Market Business Regulation during the period from the day after the day of payment of the purchase price to the day before the repurchase date. In this case, the substituted bonds shall be considered the traded bonds of the relevant Repo trade.

(2) A seller intending to substitute the traded bonds pursuant to paragraph (1) shall obtain an agreement of the buyer through the Exchange, and the appraisal amount of the substituted bonds shall be equal to or higher than the appraisal amount of the traded bonds.

(3) The appraisal amount of substituted bonds noted in paragraph (2) and other matters necessary for substituted bonds shall be stipulated in the Enforcement Rules.

§26. Special Cases for Securities Settlement by Cash or Similar Issues

(1) When the Exchange deems that the settlement of a trade is significantly difficult, it may settle the trade with cash or securities of similar type.

(2) The conditions of settlement and method of calculating cash pursuant to paragraph (1) and other necessary matters shall be stipulated in the Enforcement Rules.

CHAPTER III. MEMBER MARGIN

§27. Deposit of Member Margin

(1) A clearing member shall deposit with the Exchange an amount more than the sum of the margin for net exposure and the variable margin that were calculated based on the closing time of the securities market trading hours for the trading volume (including trading volume at multilateral trading companies; the same hereinafter) of stocks, etc. of members and customers (when an entrustment for intermediation has been received from an investment broker, it shall include the person who made the entrustment to the relevant investment broker) stipulated in the Enforcement Rules as a member margin. In such cases, when the sum of the margin for net exposure and the variable margin is less than “0”, the member margin shall be “0”.

(2) “Margin for net exposure” in paragraph (1) shall mean the amount of loss that may possibly incur in the event that the price, value or volatility of stocks, etc. varies by a certain level, etc. and “variable margin” shall mean the amount of gain or loss that incurs as a result of appraisal of the stocks, etc., with the settlement price set by the Enforcement Rules.

(3) A non-clearing member shall deposit, as the non-clearing member margin, with a clearing

member with whom it entered into an agreement for settlement entrustment pursuant to [§22(1)] of the Membership Regulation (hereinafter referred to as “designated clearing member”), an amount that is not less than the amount determined by the relevant designated clearing member, as an amount not less than the member margin noted in paragraph (1).

(4) A clearing member may deposit member margins noted in paragraph (1) with the securities or foreign currencies in lieu of cash within the limits set by the Enforcement Rules.

(5) The types, valuation methods and other necessary matters of the foreign currencies referred to in paragraph (4) shall be stipulated in the Enforcement Rules.

(6) A member shall deposit the member margin or the non-clearing member margin with the member’s own assets by the time in each of the following subparagraphs:

1. Member margin of a clearing member: 14:00 hour of the following trading day after the date of calculation; and

2. Non-clearing member margin of a non-clearing member: Until the time determined in the agreement for settlement entrustment, which is any time before 14:00 hour of the following trading day after the date of calculation.

(7) The Exchange may set a different deadline for depositing member margin for members whose intraday settlement risk calculated at a specific point of time during the trading hours of the securities market meets the criteria stipulated in the Enforcement Rules.

(8) Notwithstanding paragraph (6), in cases where the Exchange deems it necessary for the market management due to the occurrence of natural disaster, warfare, upheaval, sudden and significant change in the economic conditions or other incidents similar thereto, it may change the date of deposit, the deadline for deposit, etc. of member margins and non-clearing member margins.

(9) The calculation methods of the amount of margin for net exposure and the variable margin noted in paragraph (2), and other necessary matters about the member margin, etc. shall be stipulated in the Enforcement Rules.

§28. Restrictions on Use of Non-clearing Member Margins

A designated clearing member shall be prohibited from using the cash, substitute securities and foreign currencies that were deposited as non-clearing member margins by the non-clearing member for anyone but the relevant non-clearing members.

§29. Methods of Deposit and Withdrawal of Member Margins, etc.

(1) The deposit and withdrawal of member margin by a clearing member shall be made in the manner classified in each of the following subparagraphs:

1. Cases of cash or foreign currencies: The deposit shall be made in the manner by depositing the member margins into the account under the name of Exchange that was opened for the deposit of member margin at the bank where the receipt and payment of

member margin are conducted, and the withdrawal shall be made in the manner by transferring the member margins from the relevant account under the name of Exchange to the account under the name of the clearing member that was opened at the relevant bank for receipt of member margins.

2. Cases of substitute securities: The deposit shall be made by establishing a right of pledge by the Exchange on securities, which are electronically registered in the proprietary account books of account management institutions, etc. of clearing members at the KSD in accordance with Article 23(2) of the Act on Electronic Registration of Stocks, Bonds, Etc. (hereinafter referred to as “the Electronic Securities Act”), as prescribed in the Electronic Securities Act, and the withdrawal shall be made by canceling the relevant right of pledge.

(2) The method of requesting for deposit and withdrawal of member margins pursuant to paragraph (1) shall be in accordance with the Enforcement Rules.

(3) For the deposit and withdrawal of cash, substitute securities or foreign currency that a non-clearing member deposits with its designated clearing member as non-clearing member margin, paragraphs (1) and (2) shall apply *mutatis mutandis*. In such cases, the “clearing member” shall be construed as the “non-clearing member”, the “member margin” shall be construed as the “non-clearing member margin” and the “Exchange” shall be construed as the “designated clearing member”.

(4) The matters necessary for the designation and termination of the bank for receipt and payment of member margins noted in paragraph (1) shall be stipulated in the Enforcement Rules.

§30. Management and Operation of Member Margin

(1) The Exchange shall manage the cash or foreign currencies deposited as member margins individually for each clearing member separately from the Exchange’s own asset.

(2) The Exchange may operate the cash or foreign currencies deposited by the clearing members in any of the methods prescribed in Article 362(5) of the Enforcement Decree of the Act, which can secure the cashability.

(3) The Exchange shall calculate the member margin by including proceeds and expenses, etc. incurred from the operation of cash or foreign currency deposited as member margin by each clearing member.

(4) The matters necessary for the operation of member margins pursuant to paragraph (2) and the calculation method including the proceeds and expenses, etc., in the member margins pursuant to paragraph (3) shall be stipulated in the Enforcement Rules.

§31. Withdrawal of Member Margins, etc.

(1) In the case where a clearing member has deposited the member margin in excess of the amount specified in [§27(1)], the clearing member may withdraw the amount equivalent to the excess amount.

(2) In the case where a non-clearing member has deposited the non-clearing member margin in excess of the amount specified in [§27(2)], the non-clearing member may withdraw the amount equivalent to the excess amount.

§32. Imposition of Intraday Margins

(1) The Exchange may impose on the clearing member the member margin calculated at a specific time during the regular session of the securities market. In this case, the relevant member margin is classified as follows depending on the depositor:

1. Intraday margin: Member margin that a clearing member deposits with the Exchange; and

2. Non-clearing member intraday margin: Member margin that a non-clearing member deposits with a designated clearing member.

(2) A clearing member who has been imposed with the intraday margin shall deposit the amount that is higher than the amount of intraday margin with the Exchange by the time specified in the Enforcement Rules.

(3) A non-clearing member who has been imposed with the non-clearing member intraday margin shall deposit the amount set by the designated clearing member, which is larger than the amount of intraday margin, as a non-clearing member intraday margin with the designated clearing member by the time specified in the Enforcement Rules.

(4) Each member may deposit the intraday margins or non-clearing member intraday margins with cash, substitute securities or foreign currencies.

(5) Calculation and deposit methods of intraday margin and other matters necessary for the imposition of intraday margins, etc. shall be stipulated in the Enforcement Rules.

§33. Cancellation of Imposition of Intraday Margin

(1) Notwithstanding the provisions of [§32], when the Exchange deems that the imposition of intraday margin is unnecessary due to the change in market conditions, etc., it may cancel the imposition of intraday margins.

(2) In cases when the Exchange cancels the intraday margin imposed on clearing members, the designated clearing members shall cancel the imposition of non-clearing member intraday margins.

§34. Substitute Securities

(1) Substitute securities shall be securities defined as substitute securities in the KOSPI Market Business Regulations, the KOSDAQ Market Business Regulations, and the KONEX Market Business Regulations.

(2) Notwithstanding paragraph (1), for the substitute securities of which liquidity, credit ratings and yields, etc., fall below the level set by the Exchange, the Exchange may adjust the

substitute prices of the relevant substitute securities or may not acknowledge the validity of the substitute securities as stipulated in the Enforcement Rules.

(3) No member shall deposit the securities issued by itself and the securities issued by a company with which it has the relations specified in the Enforcement Rules as member margins or non-clearing member margins.

(4) The Exchange may set a limit on the amount, by type and issue, of substitute securities which a member can deposit, as stipulated in the Enforcement Rules.

(5) A designated clearing member may impose necessary restrictions on the types of substitute securities that a non-clearing member can deposit as non-clearing member margins.

(6) The timing and methods of calculating the substitute prices and appraisal ratios of the substitute securities and other necessary matters relating to the substitute securities shall be stipulated in the Enforcement Rules.

CHAPTER IV. MANAGEMENT OF SETTLEMENT RISK

§35. Monitoring and Management of Settlement Risk

(1) When a clearing member finds it difficult to fulfill the settlement obligations or fails to deliver stocks, etc., by the settlement deadline, the clearing member shall notify such details to the Exchange.

(2) In the case where a multilateral trading company encounters any matter that may affect settlement, such as a large-scale error trade by a trading participant or a failure in its trading system, it shall immediately notify the Exchange of the matter.

(3) For the reliable and efficient settlement processing, the Exchange shall identify and manage the settlement risks of clearing members.

(4) The details and time of notification noted in paragraphs (1) and (2), the identification and the management method of settlement risks by clearing members noted in paragraph (3) and other matters necessary for the settlement risks shall be stipulated in the Enforcement Rules.

§36. Liquidity Provision to Ensure Settlement Performance

(1) In the case where a clearing member has failed to deliver the settlement payments falling under any of the following subparagraphs by the deadline specified in the Enforcement Rules, the Exchange shall supply liquidity using the settlement resources without delay based on the relevant deadline and notify the fact about the supply of liquidity to the KSD in advance. Provided that this provision shall not apply to the cases where it is deemed difficult for the Exchange to supply liquidity due to the failure of the computer system of the settlement bank or other unavoidable reasons:

1. Settlement payments for trades subject to netting noted in [§74(1)1 & 2];

2. Deferred settlement amount noted in [§75-9(1)]; and

3. Purchase amount noted in [§75-10(3)2]

(2) In the case where a clearing member has failed to deliver the securities, the Exchange may supply liquidity for the securities. In such cases, the Exchange shall consult the KSD in advance.

(3) In case of supplying liquidity pursuant to paragraphs (1) and (2), the Exchange shall immediately notify such facts to the relevant clearing member.

(4) In the case where the Exchange has supplied liquidity pursuant to paragraphs (1) and (2) because a clearing member failed to deliver the securities or payment, the relevant clearing member shall deposit the payment and securities to the accounts of Exchange notified in advance after the deadline noted in paragraph (1) (referring to the time the liquidity was supplied, in cases where the liquidity for securities has been supplied). In this case, when the Exchange receives securities or payment from the clearing member, it shall immediately notify the KSD of the fact.

(5) The securities and payments deposited with the settlement accounts shall include the securities and payments that the Exchange supplied as liquidity, and the clearing members who have not paid back the liquidity supplied shall not be included in the clearing members who will receive the securities and payments from the settlement accounts.

(6) The types and usage of settlement resources noted in paragraphs (1) and (2), the deposit method pursuant to paragraph (4) and other necessary matters shall be stipulated in the Enforcement Rules.

§37. Settlement Delay Penalty in Securities Market

(1) A clearing member who has failed to deposit the securities or payments falling under any of the following subparagraphs with the settlement account by the deadline specified in the Enforcement Rules shall pay to the Exchange the settlement delay penalty. In such cases, when having received the settlement delay penalty caused by the settlement delay of stocks, etc., the Exchange may pay the relevant settlement delay penalty to the clearing member who has not received the stocks, etc.

1. The settlement securities or settlement payments for the trades subject to netting noted in [§9(1)1];

2. The settlement payments for the trades subject to netting note in [§9(1)2];

3. The deferred settlement payments noted in [§21(1)]; and

4. The purchase amount noted in [§22(3)2].

(2) Notwithstanding paragraph (1), in cases where the delay of deposit of securities or

payments is unavoidable due to the natural disasters, sudden change in economic conditions, failure of computer systems of the KSD or a settlement bank or where it is difficult for the Exchange to supply liquidity due to other unavoidable circumstances, the settlement delay penalty may not be paid.

(3) The methods of calculation, deposit and payment of the settlement delay penalty pursuant to paragraph (1) and other matters necessary for imposing the late settlement fee shall be stipulated in the Enforcement Rules.

§38. Burden of Costs

A clearing member shall bear all costs and losses, including bank fees, etc., arising from the settlement or the failure of settlement. In this case, the clearing member may have the relevant non-clearing member bear all costs and losses arising from the non-clearing member.

§39. Handling of Settlement Failures in Securities Market

(1) In the case where the Exchange deems that a clearing member fails to fulfill its settlement obligation or deposit member margin and intraday margin for trades or it recognizes that there is a risk of such failure (hereinafter referred to as the "non-fulfillment of settlement obligation"), the Exchange may take the measures falling under any of the following subparagraphs or may not assume the obligations of the relevant clearing member for a certain period of time or until the relevant causes are resolved:

1. Suspension of the relevant clearing member from trading, whole or in part;

2. Suspension of delivery of all or a part of securities or cash that the relevant clearing member is expected to receive from the Exchange, including member margins, intraday margins, settlement securities and settlement amounts, etc.; or

3. Other measures stipulated in the Enforcement Rules.

(2) In the case where a clearing member falls under any of the following subparagraphs, the Exchange deems that there is a risk that the clearing member will not fulfill its settlement obligation or deposit member margins and intraday margins for trades:

1. Where an application for suspension of payment and/or an application for commencement of rehabilitation procedures was filed by the clearing member;

2. Where a bills or check issued by the clearing member was dishonored or the transaction with banks was suspended or banned;

3. Where the clearing member was imposed of a sanction of business suspension by the FSC;

4. For a foreign branch office located in Korea that is engaged in the investment dealing or investment brokering business for securities, where the head office in the foreign country falls under the causes equivalent to or similar to the cases in paragraphs (1) through (3);

5. Where the clearing member falls under any of the following items:

(a) Occurrence of any massive financial scandal or non-performing receivables;

(b) Sudden and significant deterioration of liquidity; or

(c) The quantity or amount of the security for which the settlement is deferred or substituted with the securities delivery bill is excessive.

6. Any other situation that is similar to paragraphs (1) through (5), where there exists a risk for non-fulfillment of settlement obligation.

(3) In the case where the Exchange has supplied liquidity pursuant to [§74-4] or the settlement was substituted with the securities delivery bill, it shall be deemed that the settlement of the trade has been completed.

(4) In the case where a clearing member has been imposed of the measures stipulated in paragraph (1) because of the non-fulfillment of settlement obligation, the cash [including the amount sold pursuant to paragraph (5)] and the securities [including the securities purchased pursuant to paragraph (5)] under the payment suspension pursuant to paragraph (1)2 may be appropriated for the collection of claims or offset with the member margins, intraday margins, settlement payments and the settlement securities that the relevant clearing member is obligated to deliver to the Exchange. In such cases, it shall be deemed that the benefit of time on the claims and obligations of the clearing member against the Exchange has been lost.

(5) The Exchange may sell the securities that have been placed under the payment suspension pursuant to paragraph (1)2 or purchase the securities with the cash under the payment suspension pursuant to paragraph (1)2 in the manner determined by the Exchange.

(6) In the case where a non-clearing member fails or is deemed likely to fail to fulfill the obligations for deposit of non-clearing member margins and non-clearing member intraday margins or for settlement to a designated clearing member, the designated clearing member may suspend the payment of non-clearing member margins, non-clearing member intraday margins and the amount sold and the purchased securities, whole or a part, which are due to the relevant non-clearing member. In such cases, if there is a request from the relevant designated clearing member or it is deemed necessary for market management, the Exchange may suspend the trading of the relevant non-clearing member for a certain period of time.

(7) In the case where a designated clearing member falls under any of the following cases, the non-clearing member shall be prohibited from trading before it entered into an agreement for settlement entrustment with another clearing member:

1. In case of being subject to the imposition of a measure pursuant to paragraph (1); or

2. In case of being subject to the imposition of a measure pursuant to [§36(1)1 through 3] of the Membership Regulation.

(8) When the Exchange takes a measure against a clearing member pursuant to paragraph (1), if it is deemed necessary, the Exchange may assist the efficient settlement by seconding its

employee to the relevant clearing member as stipulated in the Enforcement Rules.

§40. Termination of Measures Imposed on Non-fulfillment of Settlement Obligation

(1) In the case where the Exchange has suspended the clearing member from trading without specifying the duration pursuant to [§39(1)], the relevant clearing member may request the Exchange to terminate the trading suspension when the grounds for the suspension have been resolved.

(2) Upon receiving the request for termination of trading suspension pursuant to paragraph (1), the Exchange may terminate the trading suspension if it deems that the termination of such measure is justifiable.

CHAPTER V. SUPPLEMENTARY PROVISIONS

§41. Retention Period of Transaction Records

The Exchange shall retain the records related to clearing and settlement of transactions for ten (10) years.

§42. Gathering Public Opinions

In cases of revising this Regulation (including its Enforcement Rules), opinions of stakeholders shall be collected as stipulated in the Enforcement Rules

§43. Enforcement Rules

Matters necessary for the enforcement of this Regulation shall be stipulated in the Enforcement Rules.

ADDENDA

(Regulation No. 2287 / February 5, 2025)

§1. Effective Date

This Regulation shall become effective on March 4, 2025.

§2. Amendment of Other Regulations

(1) The KOSPI Market Business Regulation shall be partially revised as follows:

Articles 66 through 69 shall be deleted.
Chapter 5 (Articles 72 through 76-2) shall be deleted.

(2) The KOSDAQ Market Business Regulation shall be partially revised as follows:

Chapter 4 (Articles 28 through 32-2) shall be deleted.

(3) The KONEX Market Business Regulation shall be partially revised as follows:

Articles 66 through 69 shall be deleted.
Chapter 4 (Articles 33 through 50) shall be deleted.

ADDENDUM

(Regulation No. 2418 / March 4, 2026)

This Regulation shall become effective from the date determined by the Enforcement Rules, taking into consideration the period required for the development of the computer program, etc.